

CHARELE (PRIVATE) LIMITED

versus

EVANGELICAL ANGLICAN CHURCH

and

MINISTRY OF LANDS, AGRICULTURE, FISHERIES WATER AND

RURAL DEVELOPMENT N.O

and

MUTASA RURAL DISTRICT COUNCIL

and

MUTASA DISTRICT AND RURAL DISTRICT DEVELOPMENT COORDINATOR N.O

HIGH COURT OF ZIMBABWE

MUZENDA J

MUTARE, 29 May 2025

OPPOSED APPLICATION

Mr M.M Ndebele, for the applicant

Mr ... Maunga (Jr), for 1st respondent

Mr B Zviuya, for the 3rd respondent

Mr P Garwe, for 2nd - 4th respondents

MUZENDA J: On 16 February 2017 applicant and first respondent signed a Memorandum of Agreement relating to 6 stands located in applicant's piece of land effectively compensating first respondent's loss of land consumed by roads developed in lieu of applicant's housing project in Mutasa District. The ceded land added up to 4220 hectares. After the Memorandum of Agreement first respondent proceeded to have that ceded piece of land registered in its name. the Memorandum of Agreement was then filed with the District Administrator's office, the second respondent, the Ministry of Lands and then Rural Resettlement and Mutasa Rural District Council.

After the applicant had notified all these government offices, it wrote a letter of complaint to the Chief Lands Officer for Manicaland Province to the following effect:

"We seek to have the agreement revoked as it was signed under duress from your office without considering that the mistake to allocate two organisations the same piece of land was your mistake. You personally insisted that we sign the agreement on the conditions that were proffered by Evangelical Anglican Church in spite of all protest and desire for you to see reason being rejected."

This complaint apparently relates to the subject memorandum of Agreement of 16 February 2017. A vast of other letters speaking of the same complaint was written to various government departments and another one to the Land Commission and to the first respondent. When applicant failed to get assistance or intervention it then approached this court seeking the following relief in its draft order:

“IT IS HEREBY ORDERED AND DECLARED THAT:

- a) The application for a declaratory order be and is hereby granted.
- b) The allocation of a portion of land to the 1st Respondent by the 2nd, 3rd and 4th Respondents within Lot 1 of Fairview Estate Mutasa Rural District measuring 40 hectares in extent be and is hereby declared null and void.
- c) The agreement entered into between the Applicant and first Respondent on the 16th February 2017 which purportedly cedes residential stands number 2004, 2005, 2006, 2008, 2009 and 2010, as compensation for the road allegedly passing through the 1st Respondent’s stand and subsequently endorsed by the second, third and fourth respondents be and is hereby declared void and illegal and of no force or effect.
- d) The 1st Respondent and all those enjoying occupation through it be and is hereby ordered to vacate the premises located with a portion of land of Lot 1 of Fairview Estate, Mutasa Rural District, measuring 40 hectares in extent, allocated underlease number GL 1569 and transferred to the Applicant for housing project, within 14 days of the granting of this order.
- e) The first Respondent to pay costs of suit on attorney-client scale”

All four respondents are opposing the application. First respondent raises three points in limine. The first preliminary point relates to material disputes of fact. The view of first respondent is that applicant’s cause of action is based on a claim that applicant’s title precedes that of first respondent. Applicant also contents that its title did not encroach upon applicant’s church stand. Both of these [positions are controverted by first respondent and based on papers filed of record none of these issues can easily be resolved on paper without leading oral evidence. The court is left confused as to the real situation buttressed by credible evidence.

The second point in limine relates to unpaid legal costs incurred under HC11/21 where applicant withdrew any application and tendered costs to the first respondent.

The final point in limine raised by first respondent is founded on prescription. It is first respondent’s contention that the memorandum of agreement was concluded on n16 February 2017 and the application for a declarator has prescribed. The third respondent, also raised points in

limine chief among them being serious material disputes of fact. According to third respondent whether first respondent's stand is within or without applicant's 40 hectares would require an expert qualified surveyor. In addition applicant has to prove whether its agents signed the memorandum of agreement under duress. Third respondent also raises defence of prescription. It added that the action prescribed on 15 February 2020 after 3 years from the date of its signing. The third respondent also attacks the relief sought as being legally incompetent in failing to take cognisance that the agreement between applicant and first respondent is still extant. Third respondent impugns further the relief sought by applicant as per its draft order. The relief sought seeks the eviction of a party which was properly allocated land.

In response to the points in limine applicant contends that there are no material dispute of facts which would require viva voce evidence. If there are any disputes of fact then they are capable of resolution on paper. On the question of unpaid cost applicant argues that there is a procedure open to the first respondent to recover these costs. On prescription, applicant contends that the cause of action arose in August 2024 and bot 16 February 2017 when applicant gave notice of cancellation of the agreement. Applicant added that a defence of prescription does not apply to a relief of a declarator it being a remedy to secure the public interest of certainty or correct legal position. To the applicant a declaratory order is a remedy to secure the public interest and such a remedy cannot prescribe. On issues of incompetent relief sought applicant insisted that all the reliefs sought are sound and legally competent. Applicant prayed that all pints in limine be dismissed and the court entertains the parties on merits.

Disposition of points in limine

It is incumbent upon this court to deal with points in limine first. If I uphold the preliminary points, obviously there will be no need to transcend to the merits. If the points in limine are disposed then I will deal with the application on merits.

Whether there are material disputes of fact?

The centre of dispute between applicant and first respondent is a piece of land where the roads were created as part of servicing the area for residential commercial and social facilities to the beneficiaries. The extent of such accessible roads is not known. Further the memorandum of agreement of 16 February 2017 speaks of compensation of first respondent by the applicant with a total of 6 residential stands with total area of 4 200m². It is not clear from the pleadings filed of record whether indeed the lay-out of applicant's project eats up the exact surface area of first respondent's allocated area to the extent of 4 200m². Both applicant and first respondent were lawfully allocated the respective pieces of land they are occupying. Is it factually clear that it is first respondent who encroached into applicant's property, or it is applicant who did so as is apparent from the preamble to the memorandum of agreement. The diagram produced and attached by the applicant does not crisply explain this encroachment. I am persuaded by first and third respondents' submission that there is dire need for a surveyor to come and clarify this aspect of encroachment or alleged double allocation. Applicant inherited a piece of land originally granted to DTZ/P2GEO and the latter's evidence is necessary to clarify the boundaries particularly between applicant and first respondent's pieces of land. These grey areas cannot be obviously be resolved on paper without hearing oral evidence. In addition applicant vehemently and adamantly allege duress or pressure from an outsider, the then chief lands officer of Manicaland. There is nothing patent on the agreement which confirms that duress and such an allegation is best proved by way of leading oral evidence. At the time applicant filed its application it ought to have perceived these glaring material disputes of fact and could have sensibly avoided an application route. Indeed, in as far as the boundary dispute or encroachment or double allocation is concerned, this court is left with no ready answer to this dispute in the absence of further evidence. This point *in limine* was properly and relevantly raised, I uphold it.

Whether the application is prescribed

The focal point discerned from the applicant's papers is 16 February 2017 memorandum of agreement it entered into with first respondent and subsequently circulated to various government departments. It is the very document applicant alleges that it was coerced to enter and

sign. It is the same document applicant seeks to be declared a nullity by this court. It is further the very document which applicant relies upon to move this court to deuce that there was a double allocation. The document is the pith of applicant's coming to court and as such it fundamentally forms the foundation of applicant's cause of action. I reject applicant's contention that the cause of action is its notice to first respondent advising first respondent about the cancellation of the memorandum of agreement. Consequently, the computation of 3 years as provided by the Prescription Act starts from 116 February 2017 and not in 2024 as argued by the applicant. As it was succinctly put by TSANGA J in the matter of *Dhliwayo & Ors v Bere & Ors* HH 164/24, an authority cited by first respondent's counsel in its heads of arguments:

"The quest for a declarator cannot, simply put, be divorced from the causa as to do so would indeed creative situation where those who have done nothing about their claim, resort to using the declarator as a back door seeking coercive relief which they could have sought within the prescribed time limits. Different factual aspects of the case may have prescribed a different times."

I am entirely in agreement with the sentiments of the learned Judge. Applicant had up to mid 2020 to take action. It did not do so and I am satisfied that respondent's preliminary points on prescription are valid and I uphold the point *in limine*.

My upholding of these two critical points *in limine* is capable of disposing of the application. The remainder of the points *in limine* would amount to be academic. There is no purpose in making a ruling on them. Prescription once upheld will dispose of the matter.

Accordingly, the applicant's application is prescribed and on that basis the application is dismissed wit costs on party and party basis.

Muchengeti & Company, applicant's Legal Practitioners

Maunga Maanda & Associates, 1st respondent's legal practitioners

Bere Brother 3rd respondent's legal practitioners

Civil Division of the Attorney General's Office, 4th respondent's legal practitioners

~~{DRAFTING NOTE: THIS DOCUMENT MAY BE REVISED BY LENDER'S COUNSEL AS NECESSARY TO REFLECT THE LOAN HISTORY AND THE ACTUAL INTEREST BEING TRANSFERRED AND IN ACCORDANCE WITH ANY ADDITIONAL LENDER REQUIREMENTS PERMITTED PURSUANT TO THE GUIDE.}~~

~~{DRAFTING NOTE: BRACKETED LANGUAGE SHOULD BE DELETED IF NOT APPLICABLE.}~~

ASSUMPTION AND RELEASE AGREEMENT

~~{KEY PRINCIPAL TRANSFER}~~

~~{4000 SERIES LOAN DOCUMENTS}~~

This ASSUMPTION AND RELEASE AGREEMENT ("**Agreement**") is dated as of _____, _____ by and among _____, a _____ ("**Transferor**"), _____, a _____ ("**Transferee**"), _____ a _____ ("**Borrower**"), [_____ and _____ ("**Other Key Principals**")], and Fannie Mae, a corporation duly organized under the Federal National Mortgage Association Charter Act, as amended, 12 U.S.C. §1716 et seq. and duly organized and existing under the laws of the United States ("**Fannie Mae**").

RECITALS:

A. _____ Fannie Mae is the holder of that certain Multifamily Note [(as modified by the Addendum to Multifamily Note] dated as of _____, _____ ([collectively,] the "**Note**") in the original principal amount of \$ _____ made by Borrower to _____ ("**Original Lender**"), which Note evidences a loan ("**Mortgage Loan**") made by Original Lender to Borrower. To secure the repayment of the Note, Borrower also executed and delivered a Multifamily [Deed of Trust], [Mortgage], [Deed to Secure Debt], Assignment of Rents and Security Agreement, [including a Rider to Multifamily Instrument], dated as of _____, _____, **[INSERT RECORDING INFORMATION IF NECESSARY]** [and recorded as instrument number _____] [at deed book _____ and page number _____] in the land records of _____ County, _____] (as amended, restated, replaced, supplemented or otherwise modified from time to time, collectively, the "**Security**

~~Instrument~~) encumbering the land as more particularly described in Exhibit A to this Agreement (the “~~Mortgaged Property~~”). Borrower is liable for the payment and performance of all of Borrower’s obligations under the Note, the Security Instrument and all other documents executed in connection with the Mortgage Loan, as listed on Exhibit B to this Agreement (collectively, the “~~Loan Documents~~”). Each of the Loan Documents has been duly assigned or endorsed to Fannie Mae, including the Security Instrument, which has been assigned to Fannie Mae pursuant to that certain Assignment of Multifamily Mortgage, Deed of Trust or Deed to Secure Debt dated as of _____ **[INSERT RECORDING INFORMATION IF NECESSARY]** [and recorded [as instrument number _____] [at deed book _____ and page number _____] in the land records of _____ County, _____]. The current servicer of the Mortgage Loan is _____ (“~~Servicer~~”).

B. _____ [Transferor [and Other Key Principals] [is] **[OR]** [are] liable for the obligations under [the Acknowledgement and Agreement of Key Principal to Personal Liability for Exceptions to Non-Recourse Liability contained in the Note (the “~~Acknowledgement~~”)] **[OR]** [Transferor [and Other Key Principals] [is] **[OR]** [are] liable for the obligations under the Exceptions to Non-Recourse Guaranty dated as of _____, _____ (“~~Guaranty~~”).]

C. _____ Fannie Mae has been asked to consent to the transfer of Transferor’s ownership interest in Borrower to Transferee (the “~~Transfer~~”) and the assumption by Transferee of the obligations of Transferor under the [Acknowledgement] **[OR]** [Guaranty].

D. _____ [Fannie Mae requires that Transferee [and Other Key Principals] be identified in the Security Instrument for the purposes of the transfer restrictions.]

E. _____ Fannie Mae has agreed to consent to the Transfer subject to the terms and conditions stated below:

AGREEMENTS:

NOW, THEREFORE, for and in consideration of the foregoing, and the mutual covenants and promises set forth in this Agreement and for other good and valuable consideration the receipt and sufficiency of which are hereby acknowledged, Transferor, Transferee, Borrower [, Other Key Principals] and Fannie Mae agree as follows:

~~1. Recitals.~~

~~The recitals set forth above are true and correct and are hereby incorporated by reference.~~

~~2. Defined Terms.~~

~~All capitalized terms used but not defined in this Agreement shall have the meanings assigned to them in the Security Instrument. As used in this Agreement, the following terms shall have the following meanings:~~

~~“Claims” means any and all possible claims, demands, actions, costs, expenses and liabilities whatsoever, known or unknown, at law or in equity, originating in whole or in part, on or before the date of this Agreement, which Borrower, Transferor [, Other Key Principals] or Transferee, or any of their respective partners, members, officers, agents or employees, may now or hereafter have against Indemnitees, if any, and irrespective of whether any such claims arise out of contract, tort, violation of laws or regulations, or otherwise in connection with any of the Loan Documents, including any contracting for, charging, taking, reserving, collecting or receiving interest in excess of the highest lawful rate applicable thereto and any loss, cost or damage, of any kind or character, arising out of or in any way connected with or in any way resulting from the acts, actions or omissions of Indemnitees, including any requirement that the Loan Documents be modified as a condition to the transactions contemplated by this Agreement, any charging, collecting or contracting for prepayment premiums, transfer fees or assumption fees, any breach of fiduciary duty, breach of any duty of fair dealing, breach of confidence, breach of funding commitment, undue influence, duress, economic coercion, violation of any federal or state securities or Blue Sky laws or regulations, conflict of interest, NEGLIGENCE, bad faith, malpractice, violations of the Racketeer Influenced and Corrupt Organizations Act, intentional or negligent infliction of mental distress, tortious interference with contractual relations, tortious interference with corporate governance or prospective business advantage, breach of contract, deceptive trade practices, libel, slander, conspiracy or any claim for wrongfully accelerating the Note or wrongfully attempting to foreclose on any collateral relating to the Note, but in each case only to the extent permitted by applicable law.~~

~~“Indemnitees” means, collectively, Original Lender, Servicer, Fannie Mae and their respective successors, assigns, agents, directors, officers, employees and attorneys, and each current or substitute trustee under the Security Instrument.~~

3. ~~Assumption by Transferee of Liability for the Exceptions to Non-Recourse.~~

~~[Transferee] hereby assumes all liability under the provisions of the [Acknowledgement] [OR] [Guaranty].~~

4. ~~Consent to Transfer.~~

~~Fannie Mae hereby consents to the Transfer and to the assumption by Transferee of all of the obligations of Transferor under the [Acknowledgement] [OR] [Guaranty], subject to the terms and conditions set forth in this Agreement. Fannie Mae’s consent to the Transfer is not intended to be and shall not be construed as a consent to any subsequent transfer which requires Lender’s consent pursuant to the terms of the Security Instrument.~~

5. ~~Release of Transferor.~~

~~Fannie Mae hereby releases Transferor from all of its obligations under the [Acknowledgement] [OR] [Guaranty], provided, however, that Transferor is not released from any liability pursuant to this Agreement.~~

6. ~~No Change in Liability.~~

~~Nothing set forth herein shall release or change the liability of [Other Key Principals or of] Borrower or any other party who may now be or after the date of this Agreement, become liable, primarily or secondarily, under the [Acknowledgement] [OR] [Guaranty] and the other Loan Documents. Except as expressly modified hereby, the Note, the Security Instrument [the Guaranty] and the other Loan Documents shall remain in full force and effect.~~

7. ~~Costs.~~

~~Transferee and Transferor agree to pay all fees and costs (including attorneys’ fees) incurred by Fannie Mae and Servicer in connection with Fannie Mae’s consent to and approval of the Transfer and a transfer fee of \$_____ in consideration of the consent to the Transfer.~~

~~8. Financial Information.~~

~~Transferee represents and warrants to Fannie Mae that all financial information and information regarding the management capability of Transferee provided to Servicer or Fannie Mae was true and correct as of the date provided to Servicer or Fannie Mae and remains materially true and correct as of the date of this Agreement.~~

~~9. Complete Release.~~

~~Transferee, Transferor [, Other Key Principals] and Borrower, jointly and severally as between Transferor, Transferee [, Other Key Principals] and Borrower, unconditionally and irrevocably release and forever discharge Indemnitees from all Claims, and jointly and severally agree to indemnify Indemnitees, and hold them harmless from any and all claims, losses, causes of action, costs and expenses of every kind or character in connection with the Claims and the Transfer. Notwithstanding the foregoing, Transferor shall not be responsible for any Claims arising from the action or inaction of Transferee, and Transferee shall not be responsible for any Claims arising from the action or inaction of Transferor. Transferor, Transferee [, Other Key Principals] and Borrower agree that Fannie Mae and Original Lender have no fiduciary or similar obligations to Transferor or Transferee and that the relationship between Borrower and Fannie Mae is strictly that of creditor and debtor. This release is accepted by Fannie Mae and Original Lender pursuant to this Agreement and shall not be construed as an admission of liability on the part of either. Transferor, Transferee [, Other Key Principals] and Borrower hereby represent and warrant that they are the current legal and beneficial owners of all Claims, if any, released hereby and have not assigned, pledged or contracted to assign or pledge any such Claim to any other person.~~

~~10. Notice.~~**~~(a) Process of Serving Notice.~~**

~~Except as otherwise set forth herein or in any Loan Document, all notices under this Agreement shall be:~~

~~(1) in writing and shall be:~~

~~(A) delivered, in person;~~

~~(B) — mailed, postage prepaid, either by registered or certified delivery, return receipt requested;~~

~~(C) — sent by overnight courier; or~~

~~(D) — sent by electronic mail with originals to follow by overnight courier;~~

~~(2) — addressed to the intended recipient at the address(es) below the signature block, as applicable; and~~

~~(3) — deemed given on the earlier to occur of:~~

~~(A) — the date when the notice is received by the addressee; or~~

~~(B) — if the recipient refuses or rejects delivery, the date on which the notice is so refused or rejected, as conclusively established by the records of the United States Postal Service or any express courier service.~~

~~(b) — Change of Address.~~

~~Any party to this Agreement may change the address to which notices intended for it are to be directed by means of notice given to the other parties identified in this Agreement.~~

~~(c) — Receipt of Notices.~~

~~Transferee, Transferor [, Original Key Principal] [, New Key Principal] and Lender shall not refuse or reject delivery of any notice given in accordance with this Agreement. Each party is required to acknowledge, in writing, the receipt of any notice upon request by the other party.~~

~~11. — Construction.~~

~~(a) — The captions and headings of the sections of this Agreement are for convenience only and shall be disregarded in construing this Agreement.~~

~~(b) — Any reference in this Agreement to an “Exhibit” or “Schedule” or a “Section” or an “Article” shall, unless otherwise explicitly provided, be construed as referring, respectively, to an exhibit or schedule attached to this Agreement or to a Section or Article of this Agreement. All exhibits and schedules attached to or referred to in this Agreement are incorporated by reference into this Agreement.~~

~~(c) — Any reference in this Agreement to a statute or regulation shall be construed as referring to that statute or regulation as amended from time to time.~~

~~(d) — Use of the singular in this Agreement includes the plural and use of the plural includes the singular.~~

~~(e) — As used in this Agreement, the term “including” means “including, but not limited to” or “including, without limitation,” and is for example only and not a limitation.~~

~~(f) — Whenever Transferor’s knowledge is implicated in this Agreement or the phrase “to Transferor’s knowledge” or a similar phrase is used in this Agreement, Transferor’s knowledge or such phrase(s) shall be interpreted to mean to the best of Transferor’s knowledge after reasonable and diligent inquiry and investigation.~~

~~(g) — Whenever Transferor’s, Borrower’s [, Other Key Principals’] or Transferee’s knowledge is implicated in this Agreement or the phrase “to Transferor’s knowledge,” “to Borrower’s knowledge” [, “to Other Key Principals’ knowledge”] or “to Transferee’s knowledge” or a similar phrase is used in this Agreement, Transferor’s, Borrower’s [, Other Key Principals’] or Transferee’s knowledge or such phrase(s) shall be interpreted to mean to the best of Transferor’s, Borrower’s [, Other Key Principals’] or Transferee’s knowledge after reasonable and diligent inquiry and investigation.~~

~~(h) — Unless otherwise provided in this Agreement, if Lender’s approval, designation, determination, selection, estimate, action or decision is required, permitted or contemplated hereunder, such approval, designation, determination, selection, estimate, action or decision shall be made in Lender’s sole and absolute discretion.~~

~~(i) — All references in this Agreement to a separate instrument or agreement shall include such instrument or agreement as the same may be amended or supplemented from time to time pursuant to the applicable provisions thereof.~~

~~(j) —“Lender may” shall mean at Lender’s discretion, but shall not be an obligation.~~

~~12. —WAIVER OF JURY TRIAL.~~

~~TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, EACH OF THE PARTIES TO THIS AGREEMENT (A) AGREES NOT TO ELECT A TRIAL BY JURY WITH RESPECT TO ANY ISSUE ARISING OUT OF THIS AGREEMENT OR ANY OF THE LOAN DOCUMENTS OR THE RELATIONSHIP BETWEEN THE PARTIES AS BORROWER OR GUARANTOR AND LENDER THAT IS TRIABLE OF RIGHT BY A JURY AND (B) WAIVES ANY RIGHT TO TRIAL BY JURY WITH RESPECT TO SUCH ISSUE TO THE EXTENT THAT ANY SUCH RIGHT EXISTS NOW OR IN THE FUTURE. THIS WAIVER OF RIGHT TO TRIAL BY JURY IS SEPARATELY GIVEN BY EACH OF THE PARTIES TO THIS AGREEMENT, KNOWINGLY AND VOLUNTARILY WITH THE BENEFIT OF COMPETENT LEGAL COUNSEL.~~

~~13. —Miscellaneous.~~

~~(a) —This Agreement shall be construed according to and governed by the laws of the jurisdiction in which the Mortgaged Property is located without regard to its conflicts of law principles.~~

~~(b) —If any provision of this Agreement is adjudicated to be invalid, illegal or unenforceable, in whole or in part, it will be deemed omitted to that extent and all other provisions of this Agreement will remain in full force and effect.~~

~~(c) —No change or modification of this Agreement shall be valid unless the same is in writing and signed by all parties hereto.~~

~~(d) —This Agreement shall be binding upon and inure to the benefit of the parties and their respective heirs, legal representatives, successors and assigns.~~

~~(e) —This Agreement may be executed in any number of counterparts with the same effect as if all parties hereto had signed the same document. All such counterparts shall be construed together and shall constitute one instrument, but in making proof hereof it shall only be necessary to produce one such counterpart.~~

~~(f) — THIS WRITTEN AGREEMENT AND THE OTHER LOAN DOCUMENTS, AS AMENDED, REPRESENT THE FINAL AGREEMENT BETWEEN THE PARTIES AND MAY NOT BE CONTRADICTED BY EVIDENCE OF PRIOR, CONTEMPORANEOUS OR SUBSEQUENT ORAL AGREEMENTS. THERE ARE NO UNWRITTEN ORAL AGREEMENTS BETWEEN THE PARTIES.~~

~~{Remainder of Page Intentionally Blank}~~

~~IN WITNESS WHEREOF~~, Borrower, Transferor, Transferee [, Other Key Principals] and Fannie Mae, have signed and delivered this Agreement under seal (where applicable) or have caused this Agreement to be signed and delivered under seal (where applicable) by their duly authorized representative. Where applicable law so provides, Borrower, Transferor, Transferee [, Other Key Principals] and Fannie Mae, intend that this Agreement shall be deemed to be signed and delivered as a sealed instrument.

BORROWER:

By: _____ (SEAL)

Name: _____

Title: _____

Address: _____

TRANSFEROR:

By: _____ (SEAL)

Name: _____

Title: _____

Address: _____

TRANSFeree:

By: _____ (SEAL)

Name: _____

Title: _____

Address: _____

[OTHER KEY PRINCIPALS:

By: _____ (SEAL)

Name: _____

Title: _____

Address: _____

By: _____ (SEAL)

Name: _____

Title: _____

Address: _____

_____ }

~~FANNIE MAE:~~

By: _____ (SEAL)

Name: _____

Title: _____

Address: ~~Fannie Mae (Multifamily)~~

~~Certification and Custody~~

~~Document Delivery Facility (DDF)~~

~~21240 Ridgetop Circle~~

~~Sterling, VA 20166~~

~~[ADD NOTARY PROVISIONS]~~

~~EXHIBIT A~~

~~TO~~

~~ASSUMPTION AND RELEASE AGREEMENT~~

~~(KEY PRINCIPAL TRANSFER)~~

~~(4000 SERIES LOAN DOCUMENTS)~~

~~[DRAFTING NOTE: INSERT MORTGAGED PROPERTY DESCRIPTION USED IN
THE SECURITY INSTRUMENT]~~

~~EXHIBIT B~~

~~TO~~

~~ASSUMPTION AND RELEASE AGREEMENT~~

~~{KEY PRINCIPAL TRANSFER}~~

~~{4000 SERIES LOAN DOCUMENTS}~~

~~[DRAFTING NOTE: LENDER'S COUNSEL MUST PREPARE AN EXHIBIT B, WHICH INCLUDES ALL OF THE EXECUTED LOAN DOCUMENTS. THIS PAGE IS AN EXAMPLE ONLY. NOTE THAT THE CERTIFICATE OF BORROWER SHOULD NOT BE LISTED AS A LOAN DOCUMENT AS A NEW ONE MUST BE EXECUTED BY TRANSFEREE IN CONNECTION WITH THE ASSUMPTION]~~

1. ~~Multifamily Note dated as of _____, _____, by _____ for the benefit of _____, [as modified by an Addendum to Note dated as of _____, _____].~~
2. ~~[Deed of Trust] [Mortgage] [Deed to Secure Debt], Assignment of Rents and Security Agreement, [including a Rider to Multifamily Instrument,] dated as of _____, _____, by Transferor for the benefit of Original Lender.~~
3. ~~Achievement Agreement dated as of _____, _____ by and between _____ and _____.~~
4. ~~Replacement Reserve and Security Agreement dated as of _____, _____ by and between _____ and _____.~~
5. ~~Completion/Repair and Security Agreement dated as of _____, _____ by and between _____ and _____.~~
6. ~~Operating Deficit Escrow Agreement, dated as of _____, _____ by and between _____ and _____.~~
7. ~~Assignment of Management Agreement [require a new agreement in all cases].~~
8. ~~O&M Agreement, dated as of _____, _____, by and between _____ and _____.~~
9. ~~Payment Guaranty.~~